AARP New York

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June 2, 2021

Hon. Michelle L. Phillips
Secretary to the Commission
Hon. Maureen F. Leary
Hon. James A. Costello
Administrative Law Judges
New York State Department of Public Service
3 Empire State Plaza
Albany, New York 12223-1350

RE: Cases 19-G-0309 and 19-G-0310 - KEDNY and KEDLI - Rates

Dear Secretary Phillips and Judges Leary and Costello:

AARP appreciates this opportunity to comment on the Joint Proposal ("JP") filed on May 14, 2021. We are pleased that KEDNY and KEDLI ("the Companies"), Department of Public Service Staff ("DPS Staff") and the other signatory parties agreed to include in Section IV (11) of the JP several new or enhanced customer-facing initiatives proposed by AARP and the Public Utility Law Project ("PULP"). We oppose, however, the proposed abdication of Commission authority and degraded due process pertaining to an independent consultant's determinations about whether or not the Companies may implement certain long-term capacity projects as described on page 47 of the JP.

AARP New York has 2.5 million members, more than 700,000 of whom reside in the service territories of the Companies. AARP members are 50 years old and older and many are elderly. Others are on fixed incomes or work at businesses experiencing a marked drop off in sales and were already struggling to make ends meet prior to the onset of the pandemic. The new or enhanced customer-facing initiatives contained in Section IV (11) have the potential to

ameliorate some of the challenges facing our Long Island, Staten Island, Queens, and Brooklyn members. We will review these initiatives in the order they appear in the JP.

Prior to the onset of the pandemic, KEDNY (unlike KEDLI) did not allow residential customers to negotiate electronic deferred payment agreements over the telephone. Instead, KEDNY required time-strapped and physically challenged customers to travel to one of the utility's few customer service offices (two in Brooklyn, one each in Staten Island and Queens) open only on weekdays from 8:15 am to 5:00 pm. Provision 11.1 commits KEDNY to continue the practice, forced upon it by the pandemic, of allowing customers to negotiate DPAs over the telephone. AARP supports this change.

Provision 11.1.1 requires the Companies to provide a variety of granular data pertaining to the active, reinstated, defaulted and satisfied DPAs. This information would allow customer advocates to analyze the effectiveness and impact of the Companies' implementation of the DPA process and develop recommendations for improvement if needed. AARP supports this provision.

PULP estimates that approximately 70% of eligible KEDNY customers and approximately 30% of eligible KEDLI customers are enrolled in the respective utility's low-income program. AARP is pleased that the Signatory Parties agreed to several measures designed to increase enrollment. The Companies will add one FTE resource to support KEDLI and KEDNY in continuation of the Energy Affordability Program ("EAP") (11.2.2). The Companies agreed to increase the frequency of its file match process with the City of New York's Human Resources Administration ("HRA") from twice per year to four times per year. These two measures address situations where customers are not aware of the low-income programs or experience changes in income and become newly eligible for low-income programs. The measures are important components of a meaningful low-income program.

Provision 11.2.4 is especially important to AARP. A key reason that so few eligible KEDLI customers are enrolled in KEDLI's low-income program, in contrast to the KEDNY experience, is that its file match is limited by Nassau and Suffolk Counties to HEAP recipients. Despite numerous attempts and outreach efforts, AARP has not been able to convince the counties to

improve the lives of their low-income residents by replicating the robust file match conducted by HRA for KEDNY and Consolidated Edison and by Westchester County for Consolidated Edison. The robust file match for KEDNY includes other benefit programs such SNAP and Medicare. KEDLI has agreed to schedule a meeting with the Office of Temporary Disability Assistance, Nassau and Suffolk Counties, DPS Staff, AARP and other interested parties to attempt to resolve this issue that has festered for six years!

Pursuant to provision 11.3, KEDNY will join KEDLI in waiving all reconnection fees for customers who are EAP participants. This would remove a major impediment to a low-income customer's financial ability to restore utility service. AARP supports this change.

AARP and PULP have long been concerned about the huge amount of arrears that KEDLI and KEDY customers have accumulated. The Commission's generic COVID proceeding is supposed to develop a plan for addressing arrearages but the proceeding is moving slowly. Provision 11.6 obligates the Companies to commence a collaborative by October 1, 2021 to discuss arrears resolution-related issues in the event the Commission does not address residential and small business arrears arising from the pandemic by September 15, 2021. The Companies would file a report describing its plans and seek authorization as needed by November 15, 2021. AARP supports this initiative.

Customers of the Companies speak dozens of languages; for many customers English is not their first language. Pursuant to provision 11.7, the Companies have agreed to work with DPS Staff and other interested parties to assess the efficacy of their program to communicate in different languages. AARP supports this initiative.

As noted above, AARP is troubled by the large increase in arrears resulting from the economic impacts of the pandemic. Recently enacted federal and state programs have earmarked hundreds of millions of dollars to help utility customers pay down their arrears. We asserted that some of the customers are in arrears for the first time and may not be aware of the assistance available to them. AARP also asserted and, to our pleasure, the Companies agreed, that their Consumer Advocates would benefit from additional training focusing on these customers and the

new programs. Accordingly, provision 11.8 reflects the agreement that the Companies will develop new training for its Consumer Advocates based on implementing a checklist of steps similar to the checklist provided in Appendix 12.

This checklist should not be rigidly applied. Rather, new or revised assistance programs and best practices derived from experience should be recognized. For example, the 2021 state budget includes funding for the New York Assistance Program, which is to be administered by the State Office of Temporary Disability Assistance in coordination with the Commission. Under this program, qualifying renters may have up to twelve months of their utility arrearages waived, provided that the arrears were incurred on or after March 13, 2020. In addition, the federal government has established a $10 billion Homeowner Assistance Fund as part of the American Rescue Plan. AARP urges the Companies to add the emergency rental assistance program ("ERAP") and the emergency homeowner's assistance program ("EHAP") to the checklist.

In contrast to these excellent initiatives is this provision on page 47 of the JP:

> If, upon consideration of the Companies' reports and any public comments received, the independent consultant's assessment finds that Long-Term Capital Capacity Project is not needed at the time proposed by the Companies, the Companies shall not be permitted to recover the costs of the project through the Demand Capacity Surcharge Mechanism. The Companies may seek to have the Commission reconsider the independent consultant's assessment that a project is not necessary in a future rate proceeding on the basis of changed circumstances or any other basis permitted under the Public Service Law. Otherwise, the independent consultant's assessment of need will not be subject to review during the term of the Companies' rate plans.

This provision would improperly and unlawfully remove the Commission from the decision-making process regarding whether or not a capacity project is needed. The provision would allow the Companies to contest the independent consultant's assessment that a project is not necessary but would not allow DPS Staff or other parties or even the Commission to challenge an assessment. Due process issues arise as does the question whether the Commission has the authority to remove itself from the decision-making process that may result in surcharges on customers' bills. This process includes the SAPA notice and comment period and the ability of parties to appeal decisions.

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AARP urges the Administrative Law Judges to recommend and the Commission to approve the customer initiatives set forth in Section IV (11) of the JP and rejection of the independent consultant process described on page 47 of the JP.

Respectfully submitted,



Beth Finkel
AARP New York State Director